

## 8.5

## Return on Equity (ROE) Analysis

After understanding the capital structure, we will now look at “return on equity analysis” or ROE analysis. Basically, return on equity is the net return the company generates on its overall equity. It is calculated as:

### **PAT (Profit after Tax)/Total Equity in the company**

Fundamentally, ROE can be divided into further parts. It can also be described as a **product of the PAT margin, asset turnover, and financial leverage**. This is called DuPont Analysis

| ROE Analysis                                   |         |         |         |         |         |         |
|------------------------------------------------|---------|---------|---------|---------|---------|---------|
| PARTICULARS                                    | FY 2016 | FY 2017 | FY 2018 | FY 2019 | FY 2020 | FY 2021 |
| Margins                                        | 13%     | 13%     | 14%     | 12%     | 14%     | 15%     |
| Asset turnover                                 | 2.16    | 2.07    | 1.87    | 1.92    | 1.78    | 1.00    |
| Leverage                                       | 1.38    | 1.33    | 1.39    | 1.36    | 1.40    | 1.51    |
| ROE                                            | 39.41%  | 35.40%  | 35.71%  | 30.99%  | 36.09%  | 22.20%  |
| Book Value Growth Rate                         |         | 34.19%  | 4.19%   | 16.17%  | 7.27%   | 24.86%  |
| SGR                                            | 20%     | 34%     | 25%     | 19%     | 9%      | 22%     |
| EPS growth rate                                |         | 7%      | 13%     | -4%     | 21%     | 1%      |
| Part of Reserves kept on purpose/ Total Assets | 0.43%   | 0.45%   | 0.35%   | 0.44%   | 0.65%   | 0.52%   |
| Part of Reserves idle/ Total Assets            | 69.25%  | 71.17%  | 67.40%  | 68.81%  | 66.75%  | 62.24%  |
| Minority Interest/ Total Assets                | 1.17%   | 2.67%   | 3.37%   | 3.50%   | 3.31%   | 2.72%   |
| OCI/ Total Assets                              | 0       | 0       | 0       | 0       | 0       | 0       |

**Return on equity is one of the most powerful concepts or indicators because of two things:**

It directly shows the return equity holders generate in the company, making it directly related to the shareholder return.



It's one of the few financial ratios directly impacted by any change in the income statement or the balance sheet. This is because if anything changes in the income statement, the PAT changes. Similarly, asset turnover and financial leverage will change if anything changes in the balance sheet. This will ultimately impact the PAT.